One of the brokers in the office kept touting this stock ERLY industries. So I finally bought some. When I bought the stock, it was 7½ bid, 7¾ offered. I didn't realize that the stock frequently traded at a one dollar spread [another hearty laugh]. So right after I bought it at 7¾, all of a sudden it was 6¾ bid. I only had $2,000 in the account, and I had bought 2,000 shares. That meant if I tried getting out of the stock, my equity would be wiped out. I was stuck in that stock for about two weeks. Finally, the bid came back to 7½, and I took my loss immediately. I didn't care. It was such a thin stock that I was just happy to get out.

In those early days, what did you learn about trading that was useful?

I learned that it is always better to do your own work and get your own information because then you will have more confidence. If you listen to someone else to get into a trade and things go bad, then you have to listen to that person again to get you out. I have a real antipathy toward outside research analysts calling us with trading ideas because if you follow their advice to get into a trade, then you have to wait for their advice to get out, and things can change. The price could be down 10 percent or 15 percent before they call you again.

What else did you learn?

I learned that low-priced stocks can be terrible or great. You have to look at the valuation of the company. Chrysler was a penny stock. Global Marine traded for one dollar, and went to $90. A few years ago, some of the best companies in America traded down to a few dollars. Dow Chemical traded for $5. Now it is back to $38. Why did it trade down to $5? Because everyone was afraid. People seeing their money disappear started redeeming their mutual fund and hedge fund investments. Faced with liquidations, mutual fund and hedge fund managers had no choice but to liquidate, regardless of the price. The downmove became a self-fulfilling trend until something changed. When that change occurred, there was tremendous upside in the various names. There are times when fear dominates. Those are the times you have to be a buyer. Those are the times of great opportunity.

Anything else?